NOTE ON THE BASIS OF ASSESSMENT

Arden Property Assessment Division

1. Why this note

The Act attaches to property valued above a threshold on the most recent tax year assessment, and to renovation costing more than a proportion of the total property value on that assessment. Users of the Division's data should understand what the assessment is and what it is not.

2. Assessed value and market value

Assessed value is determined on the Division's cyclical revaluation and is intended to approximate market value at the revaluation date. Across the State the Division's ratio study puts assessed value at 89.7 per cent of sale price in the year following revaluation and lower thereafter as prices move. In the coastal counties the ratio in the most recent study was 81.5 per cent. Assessed value is therefore generally below recorded sale price and the two must not be used interchangeably.

3. Consequence for the value threshold

A parcel may sell above the threshold in the Act while remaining assessed below it, and the reverse. The Division's count of parcels meeting the definition is a count on assessed value, as the Act directs.

4. Consequence for the renovation trigger

The renovation trigger compares permitted cost against total property value on the assessment. Because assessed value lags the market, the same work is more likely to exceed the proportion late in a revaluation cycle than early in it. The Division has drawn this to the attention of the Building Standards Division.

5. Revaluation cycle

The Division revalues on a 7-year cycle by county, not statewide in one year. 7 counties were revalued in the most recent year. Comparisons of assessed value across counties should allow for the different points in the cycle.

6. What the Division does not hold

The Division holds no record of the purchaser's identity beyond the recorded deed, and no record of whether a renovation was completed. Permit issue is recorded by the Building Standards Division; completion is not systematically recorded by either.

7. Distribution of assessed values within the definition

Assessed value band	Parcels	Share of parcels in the definition (%)
$500,001 -- $650,000	25,453	33.9
$650,001 -- $850,000	21,659	28.9
$850,001 -- $1,200,000	16,495	22.0
$1,200,001 -- $2,000,000	8,845	11.8
Above $2,000,000	2,548	3.4

The distribution is relevant to the fee because a threshold expressed as a fixed sum catches a band of parcels that grows as values rise. The Division draws attention to the first band: a substantial share of parcels within the definition are assessed within thirty per cent of the threshold, so a modest general revaluation would bring a further significant number inside it without any legislative act.

8. Parcels near the threshold

8,656 parcels in the Endangerment Zones are assessed between $450,000 and $500,000, that is, immediately below the definition. On the ratio study those parcels would be expected to sell above the threshold. The Division has been asked whether the fee attaches on the assessed value at the date of sale or as revised afterwards; the Act refers to the most recent tax year assessment and the Division reads that as the assessment in force at the date of the conveyance.

9. Practical difficulties the Division foresees

The renovation trigger compares permitted cost against total property value. Where a renovation is staged across permits, the Act does not say whether the permits are aggregated. Where a parcel is subdivided or merged after a permit issues, the value against which the comparison is made changes. And where work is permitted but not carried out, the Act appears to impose the fee on the issue of the permit; the Division records that reading without endorsing it.

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